

# Nutcracker Pilot: Onboarding & Strategy Guide

Welcome to the Nutcracker Early Pilot. This document outlines the core logic of the engine, your technical setup, and the recommended parameters to ensure your "Digital Soil" remains fertile and your automation runs efficiently.

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## 1. What is Nutcracker?

Nutcracker is a hybrid automation engine designed for high-efficiency volatility harvesting. It is not a single "trick" but a symphony of strategies:

The Logic: Combines mean reversion, market making, martingale-sequencing, DCA (Dollar Cost Averaging), and delta-neutral rebalancing.

The Goal: Asset-agnostic rebalancing that adapts to market volatility context rather than trying to "predict" the next candle.

The "Is / Is Not" Boundary:

Nutcracker IS:

- A volatility harvesting automation tool.
- A hybrid rebalancing engine.
- A performance-tracking software.
- A "driver-assist" for your portfolio.

Nutcracker IS NOT:

- A hedge fund or managed account.
  - A market prediction or TA-based strategy.
  - A fixed-return or principal-guaranteed.
  - A financial advisor
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## 2. Technical Setup & Security

During this pilot, your instance is hosted in a sandboxed environment to ensure maximum uptime without requiring your local machine to stay online.

Infrastructure: Your bot runs on a dedicated instance on Aleph Strategy's VPS.

Access: You will be granted Console Access via a secure localhost connection. To establish this, you must provide your static IP address for whitelisting.

Data Integrity: Your "No Withdrawal" API keys and configuration (symbols/params) are kept securely on the VPS and are never disclosed to third parties.

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## 3. Portfolio Architecture: Pairs & Currencies

You can configure up to 9 trading pairs per instance. Understanding your "Quote" and "Base" currencies is vital for constructing your specific strategy.

Base Currency: The asset you are accumulating (e.g., BTC in BTC/USDC).

Quote Currency: The asset used to measure value and execute trades (e.g., USDC).

Strategy Construction:

Pro Tip: Your choice of Quote currency defines your risk profile.

BTC as Quote: Eliminates fiat/stablecoin risk; focuses on inter-asset accumulation.  
Stablecoins (USDC/USDT) as Quote: Maximizes volatility opportunities due to lower correlation but increases the chance of "inventory skew" during heavy market shifts.  
Hybrid Quotes (e.g., BTC & ETH): Provides a wider array to capture price discrepancies between major assets.

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#### 4. Provisioning Your "Digital Soil"

For Nutcracker to trade gracefully, your exchange spot account needs a "buffer" of assets.  
Quote Currency (The Engine Fuel): We recommend holding 30–50% of your portfolio in your chosen Quote currencies (e.g., USDC). This prevents "Out of Funds" errors and missed harvesting opportunities.  
Base Currencies (The Inventory): We recommend holding at least 5% of each Base currency you intend to trade.  
Example: For a 9-pair USDC-quoted bot, a starting allocation of 45% USDC and 5% in each of the 9 base assets is considered a "Prudent Start."

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#### 5. Tactical Parameters

You control the "intensity" of the engine via two primary settings:

A. Base Trade Size  
This is the initial "step" the bot takes.  
Recommended: 0.5% – 1.5% of your total portfolio value.  
Hard Ceiling: Never exceed 2% (to avoid rapid inventory exhaustion).  
Exchange Minimums: Ensure your trade size is >\$10 USD equivalent to avoid silent exchange rejects.

B. Base PnL (Profit Target)  
This is the minimum profit percentage required to close a trade sequence.  
The Floor (1.4%): The minimum to comfortably cover exchange fees while remaining profitable.  
The Ceiling (2.6%): The "sweet spot" before you start missing micro-volatility opportunities.

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#### 6. Surveillance & Monitoring

You aren't flying blind. You will have access to a Comprehensive PnL Monitoring Tool that provides:

Realized vs. Unrealized PnL: Clear breakdown of "money in the bag" vs. "market value."  
Performance Metrics: ROIC, Annualized Returns, and Turnover.  
Benchmarking: Comparison against a "Buy-and-Hold" (Inaction) scenario and the theoretical ATR (Average True Range) ceiling.

Ready to spin up the instance? Please get ready with deciding on your preferred exchange for this setup, Target IP Address and your selected 9 Pairs to begin the deployment.